Fangzhou Sha

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Education

Southern Methodist University
Ph.D. in Economics — Expected 2027
Committee: Nathan S. Balke (Chair), Rocío Madera, Ömer Özak, Michael Sposi
M.A. in Economics — 2023
University of Wisconsin–Madison, M.S. in Economics — 2021
Shanghai University of Finance and Economics, B.B.A. in Accounting — 2019

Research Fields

Macroeconomics; Monetary Economics; Applied Macroeconomics
Interests: Fiscal policy, monetary-fiscal interaction, and heterogeneous-agent models

Research

Job Market Paper

Fiscal Backing and Heterogeneous Household Portfolios

Presented at the RISE Conference, Federal Reserve Bank of Cleveland (Sept. 2026).

Shows that a **two-asset model** with liquid nominal government liabilities and illiquid real capital yields a **substantially larger funded–unfunded gap in inflation and output responses** than existing one-asset models with only nominal government assets. Develops a two-asset heterogeneous-agent New Keynesian (HANK) model within a dynamic stochastic general equilibrium (DSGE) framework. Funded deficits are backed by sufficient expected future primary surpluses; unfunded deficits lack such backing. With unfunded deficits, inflation erodes the real value of nominal assets and households rebalance toward real capital, amplifying investment, output, and inflation. Easier asset adjustment widens the gap further, strengthening unfunded responses and weakening funded responses. Unfunded government purchases and transfers generate similar aggregate effects, as do unfunded transfers targeted to low- versus high-liquid-wealth households. The findings show that household portfolio choice makes fiscal backing quantitatively central to inflation and real activity.

Working Papers

Fiscal Policy, Inflation Stabilization, and Monetary-Fiscal Interaction

Derives a closed-form threshold for fiscal debt feedback that determines whether monetary and fiscal responses to inflation are substitutes or complements in ensuring equilibrium determinacy. At the threshold, fiscal policy alone determines local equilibrium uniqueness.

Identifying the Effects of Funded vs. Unfunded Fiscal Shocks

With Nathan S. Balke and Carlos Zarazaga.

Uses restrictions on the market value of government debt in a structural VAR with long-run U.S. data to distinguish funded from unfunded fiscal shocks and estimate their effects on inflation and economic activity.

Work in Progress

Financial Frictions, Firm Exit, and Aggregate Dynamics

With Nathan S. Balke and Enrique Martínez-García.

High-Dimensional Predictive Regression with Cointegration

With Zhan Gao.

Selected Presentations

RISE Conference, Federal Reserve Bank of Cleveland, Cleveland, OH 2026
Southern Economic Association Graduate Student Sessions, Tampa, FL 2025
North Texas Economic Conference, University of Texas at Arlington 2025

Awards and Fellowships

Dean's Dissertation Fellowship, Southern Methodist University 2026–2027
Provost's Doctoral Candidacy Fellowship, Southern Methodist University 2023–2026
Melody Rice Memorial Award, Southern Methodist University 2026
Outstanding Graduate Student Award, Southern Economic Association 2025
Outstanding Graduate Student Instruction Award, Southern Methodist University 2025
Provost's Summer Research Grant, Southern Methodist University 2025
Best Third-Year Paper Award, Department of Economics, Southern Methodist University 2024
Nomination, Best Master's Thesis, University of Wisconsin–Madison 2021
Xu Zhendan Scholarship, Shanghai University of Finance and Economics 2018

Teaching Experience

Southern Methodist University
Outstanding Graduate Student Instruction Award 2025
Invited Speaker, Teaching Strategies and Tools Workshop 2025
Invited as a teaching award recipient to share classroom experience and teaching strategies with first- through third-year Ph.D. students. Workshop jointly organized by SMU's Moody School Leadership Academy and Center for Teaching Excellence.
Instructor of Record, Intermediate Macroeconomics Summer 2024
Teaching Assistant: Intermediate Macroeconomics; Applied Econometric Analysis; Principles of Macroeconomics (Honors); Micro Theory II; Predictive Analytics; Forecasting.

References

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